

THE EQUITY EXPRESSION OF THE AI DEBT FINANCING THESIS

The Debt That Isn't There

For three years the artificial-intelligence build-out was an equity story. Companies with enormous operating cash flows chose to spend it on chips and buildings, and the argument was about whether the spending would earn a return. That argument has not been settled. But it has been overtaken. The build is now too large for operating cash flow to carry, and the marginal dollar funding it comes from the bond market, from private credit, and from special-purpose vehicles whose borrowings never appear on the operator's balance sheet at all.

The bond market has begun to notice. On 1 September the ten-year Treasury yield pushed past 4.8 per cent, its highest since October 2023, and one reason cited was that heavy technology-sector issuance was consuming dealer balance-sheet capacity that would otherwise absorb government paper. Two days later the question is no longer whether AI capital expenditure earns a return. It is who is lending against it, on what security, and at what price.

A reframe worth holding onto

Treat the AI build not as capital expenditure but as a leveraged infrastructure asset that happens to sit inside technology companies. Infrastructure assets are valued off contracted cash flows, the cost of the debt against them, and the assumed life of the physical plant. All three of those variables have moved this year, and only the first has moved favourably. The equity market prices the contracts. The credit market prices the other two.

Method. Every external figure in this edition is sourced and dated in the notes at the end; prices are closing or intraday levels on the date stated and will have moved. The firm's internal research Wiki could not be reached during this automated run, so this edition carries *no* internal provider views. Where a framing is editorial rather than reported, it is labelled as such. Nothing here should be read as a house forecast.

Picture a haulage company that wins a fifteen-year contract to move freight for a single large retailer. It needs five hundred lorries. It does not buy them. Instead a finance house forms a company, buys the lorries, and leases them to the haulier; the retailer's contract is what the lenders actually underwrote, and the notes they bought amortise over twenty years. The haulier's accounts show a small equity stake and a lease. The borrowing sits somewhere else. Now add one detail: the engines in these lorries are obsolete after three years, not twenty, because a better engine arrives every eighteen months and the retailer will want it. Nothing in that structure is fraudulent, and every part of it is disclosed. But the person reading the haulier's balance sheet is not looking at the risk. The risk is the mismatch between a twenty-year loan, a fifteen-year contract, and a three-year engine — and it is held by whoever bought the notes.

THE STORY IN 60 SECONDS

\$194bn

Bonds issued by Amazon, Alphabet, Meta and Oracle in 2026 through 7 July, against roughly \$108bn in the whole of 2025 — a 79 per cent increase in just over half a year. *Reuters analysis, 7 July 2026.*

198bp

Oracle's five-year credit-default-swap spread, the highest level on record for the company. Oracle is rated BBB, two notches above high yield, and has roughly \$120bn of bonds inside the Bloomberg US high-grade index. *Reported April 2026.*

4.79%

The ten-year Treasury yield, with the two-year at 4.39 per cent and the thirty-year at 5.27 per cent. The ten-year subsequently rose past 4.8 per cent, the highest since October 2023. *As of 1 September 2026.*

WHAT ACTUALLY HAPPENED

A capital structure changed shape while nobody was watching the capital structure

In 2025 the five largest cloud operators issued a combined \$121bn of debt. That was already a record — more than four times their average annual borrowing between 2020 and 2024 — but it was small relative to their cash generation, and the market treated it as opportunistic. In 2026 the character of the borrowing changed. Amazon, Alphabet, Meta and Oracle alone placed about \$194bn of bonds in the first six months, and Goldman Sachs has estimated that the five hyperscalers together will reach roughly \$250bn this year and \$400bn in 2027. Across the wider set of AI-related issuers, including chipmakers and specialist cloud operators, one tally put issuance on track for close to \$570bn in 2026, more than double the prior year.

Scale alone does not make a credit problem. What matters is that the borrowing is no longer discretionary. Oracle offers the clearest illustration because it is the most exposed. Its remaining performance obligations — the contracted, not-yet-delivered cloud and AI backlog — stood at roughly \$553bn at the end of its third fiscal quarter in February 2026, up 325 per cent year on year. That is the bull case in a single number. But delivering against it required capital expenditure guided to about \$50bn in fiscal 2026, against \$6.9bn in fiscal 2024, and trailing free cash flow had turned to roughly negative \$24.7bn. Total debt passed \$125bn. The company set out plans to raise \$45bn to \$50bn during 2026 from a mix of debt and equity. A backlog that large is an asset. A backlog that large which must be pre-funded is a financing schedule.

Below investment grade in spirit if not in rating, a second layer has formed. The specialist cloud operators — the "neoclouds" — borrow against the chips themselves. CoreWeave closed an \$8.5bn facility that the company described as the first investment-grade-rated GPU-backed financing, secured on a combination of graphics processors and a customer contract with Meta worth at least \$19bn; the floating tranche priced at SOFR plus 225 basis points and the fixed tranche at about 5.9 per cent. A separate \$2.6bn delayed-draw term loan priced far wider, at SOFR plus 550. By 30 June 2026 CoreWeave reported total debt of \$35bn, against \$22.7bn of long-term debt at the end of the first quarter. Nebius entered its first senior secured facility, roughly \$775m at SOFR plus 250, backed by deployed infrastructure and contracted cash flows from an investment-grade counterparty.

And then there is the layer that does not appear anywhere. Meta and Blue Owl assembled a vehicle — reported as Beignet Investor, owned 20 per cent by Meta — to hold the Hyperion campus in Richland Parish, Louisiana. The vehicle issued approximately \$27.3bn of fully amortising senior secured notes due 2049, anchored by PIMCO with participation from BlackRock and Apollo, alongside roughly \$2.5bn to \$3bn of equity. The vehicle owns the data centre and leases it to Meta. Meta records an equity stake and a lease obligation. The \$27bn of notes are not a liability on Meta's balance sheet. Every element of this is disclosed and permitted. It also means that the single largest financing associated with the company's largest project is invisible to anyone reading the debt line.

THE ESSENTIAL DISTINCTION

The question is not whether these companies can pay. On almost any measure they can. The question is whether they must keep raising — because a borrower who must return to the market on a schedule is exposed to the *price* of credit in a way that a borrower with a fortress balance sheet is not. Solvency risk and refinancing risk are different risks, and only one of them is currently cheap to insure.

THE MECHANISM

How a single data centre becomes a bond

1 • The contract

An operator signs a long-dated commitment to take compute or lease space — often ten to fifteen years, sometimes with an investment-grade parent behind it. This contract, not the building, is the underwriting object.

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2 • The vehicle

A special-purpose company is formed to own the site, the shell and in some structures the chips. The sponsor takes a minority equity stake. Asset managers take the rest.

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3 • The notes

The vehicle issues senior secured notes — in the Hyperion case roughly \$27.3bn due 2049 — sold to insurers, private-credit funds and bond managers hunting long duration and spread.

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4 • The mismatch

Rent amortises the notes over two decades. The chips inside are depreciated over five or six years on the operator's books, and are arguably economically stale in three.

Structure described from public reporting on the Meta–Blue Owl Hyperion transaction (October 2025 onward) and on CoreWeave's \$8.5bn GPU-backed facility (March–April 2026). Individual transactions differ materially in collateral, tenor and recourse; this is a stylised composite, not a description of any single deal.

0.4–0.7x

Post-issuance net leverage typically reported for the large hyperscalers, against an investment-grade index average nearer 3x. On this measure the borrowing is trivially serviceable.

\$176bn

Estimated understatement of depreciation across the industry for 2026–2028 if GPU useful lives are economically closer to three years than the five or six now assumed. Critics put reported operating income at some firms more than 20 per cent above economic reality.

\$27.3bn

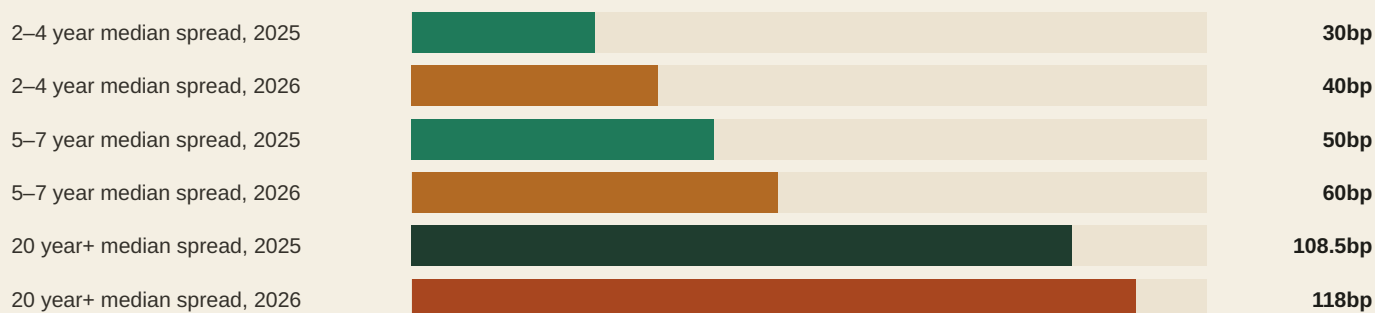
Senior secured notes due 2049 issued by the Hyperion vehicle — debt raised for a Meta project that does not appear as a Meta liability.

Leverage range and index comparison from credit-research commentary summarised in July 2026 reporting. The \$176bn depreciation estimate is a contested analyst calculation, not a company disclosure or an audited figure; the useful-life assumptions themselves are GAAP-compliant and disclosed. Hyperion note size from transaction reporting.

THE CENTRAL COMPARISON

The index is calm. The issuers are not.

Aggregate credit conditions look benign. Investment-grade option-adjusted spreads closed the second quarter of 2026 around 74 basis points, inside the first percentile of a twenty-year lookback — about as tight as corporate credit has ever been priced. Yet within that index, the four largest technology borrowers have been paying steadily more, at every tenor, and most conspicuously at the long end where the AI financing need actually sits.



Median spreads on bonds of Amazon, Alphabet, Meta and Oracle, 2025 versus 2026, as reported in July 2026. Bar lengths are illustrative and scaled to a common maximum; they are not to a zero-based index of any traded benchmark. For context, 78 of 91 hyperscaler bonds issued in 2026 with comparable pricing data were trading at higher yields on 28 July than at issuance, with a median increase of about 22 basis points.

A USEFUL MENTAL MODEL

The AI build is now priced twice. The equity market prices the *contracts* — backlog, bookings, the promise of demand. The credit market prices the *duration and the collateral* — how long the money is out, what secures it, and what the plant is worth at the end. Those two markets have been sending different signals since roughly midsummer, and the equity market has been winning the argument on the tape.

WHAT HAS ACTUALLY SHIFTED

Four changes, none of them settled

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
The funding source moved from cash flow to capital markets	Hyperscaler bond issuance of roughly \$194bn in the first half of 2026 versus about \$108bn in all of 2025; AI-related issuance on track for close to \$570bn.	Capital markets are deeper and cheaper than retained earnings when rates cooperate, and using them is rational. It also means the build's pace is now hostage to a market that can close.
Leverage migrated off the balance sheet	The Hyperion vehicle issued about \$27.3bn of notes due 2049 for a Meta campus; Meta books an equity stake and a lease, not the debt.	Risk-sharing with long-duration capital is exactly what infrastructure finance is for. But headline net-debt figures now understate the economic obligations behind the asset base.
Collateral shifted from real estate to silicon	CoreWeave's \$8.5bn facility secured on GPUs plus a Meta contract; Nebius's \$775m facility on deployed infrastructure and contracted cash flows.	Contracted revenue from a strong counterparty is genuine security. Graphics processors as collateral have never been tested through a downcycle, and their resale market is thin.
Depreciation became a live accounting argument	Useful lives of five to six years against a roughly three-year flagship product cycle; one estimate puts 2026–28 understated depreciation near \$176bn.	Older chips do retain real economic use in inference and lower-tier workloads. But the same assumption that flatters earnings also determines the residual value a lender is implicitly underwriting.
The macro backdrop turned against duration	Ten-year Treasury past 4.8 per cent, thirty-year at 5.27 per cent, and futures pricing roughly a 58–66 per cent probability of a Federal Reserve rate rise on 16 September.	Higher rates raise the discount applied to long-dated AI cash flows and the coupon on every subsequent deal. They also signal an economy strong enough to buy the compute.

Where the argument actually sits

The constructive case

- **The leverage is genuinely small.** Post-issuance net leverage in the 0.4–0.7x range compares with roughly 3x for the investment-grade universe. Microsoft is rated AAA, Alphabet AA+, Meta and Amazon AA–. These are not stretched balance sheets by any conventional measure.
- **The backlog is contracted, not hoped for.** Oracle's roughly \$553bn of remaining performance obligations at February 2026, up 325 per cent year on year, is signed business. Nebius has been reported as locking up around \$49bn of contracts. Demand is not currently the binding constraint.
- **Structured finance is the correct tool.** Long-lived, contracted, capital-intensive assets have been financed through vehicles for decades in energy, shipping and telecoms. Applying that machinery to data centres is a sign of market maturity, not of concealment.
- **GPU-backed debt cleared the ratings bar.** CoreWeave's \$8.5bn facility achieved an investment-grade rating on chip-and-contract collateral, priced at SOFR plus 225 on the floating tranche. Rating agencies and senior lenders examined the residual-value question and lent anyway.
- **Aggregate credit is not signalling stress.** Investment-grade spreads near 74 basis points sit in the first percentile of tightness over twenty years. If the market believed AI debt was a systemic problem, it is not visible in the index.
- **Older silicon has a second life.** Chips displaced from frontier training migrate to inference and smaller workloads, where economics are less punishing. The five- to six-year schedules may prove closer to right than the critics allow.

The sceptical case

- **Issuer-level pricing has already deteriorated.** Oracle's five-year CDS at a record 198 basis points, and 78 of 91 hyperscaler bonds trading wider than issue by late July, are not index-level abstractions. They are the marginal cost of the next deal rising.
- **Free cash flow at the most levered issuer is deeply negative.** Oracle's trailing free cash flow of roughly negative \$24.7bn, with capital expenditure guided near \$50bn, means the backlog cannot be delivered without repeated recourse to capital markets on terms nobody controls.
- **Off-balance-sheet does not mean off-risk.** A \$27.3bn note issue amortising to 2049 against a lease from a company whose product cycle is measured in months is a duration mismatch. It is disclosed, but it is not neutralised by disclosure.
- **The depreciation debate is unresolved and material.** If economic lives are nearer three years, a widely cited estimate puts industry profits overstated by around \$176bn across 2026–28, with reported operating income at some issuers more than 20 per cent above economic reality.
- **The funders are being repriced even as the borrowers are not.** Blue Owl fell 68.2 per cent from its January 2025 high to an all-time low of \$7.95 in April 2026 amid roughly \$5.4bn of first-quarter redemption requests. Equity holders of the lenders have taken a view that equity holders of the borrowers have not.
- **The macro is now working against the structure.** With the ten-year past 4.8 per cent partly on technology supply crowding out Treasuries, and a September rate rise more likely than not, both the cost and the availability of the next tranche have deteriorated.

WHERE THE EVIDENCE CONFLICTS

Two markets, one asset, no reconciliation

The unresolved conflict in this edition is not between an internal view and an external one — the internal Wiki was unreachable, so no internal view is represented. It is between two external bodies of evidence that are both well documented and point in opposite directions.

On one side: aggregate investment-grade spreads at roughly 74 basis points, first-percentile tight over two decades; hyperscaler leverage at a fraction of the index average; ratings in the AA and AAA range for most of the group; and an \$8.5bn GPU-backed facility that cleared investment grade on collateral many assumed would never qualify. On the other: a record CDS spread at the most levered issuer, the great majority of 2026 hyperscaler bonds trading below issue price, spread widening at every tenor for the four largest borrowers, a 68 per cent drawdown in the listed equity of the private-credit manager anchoring the flagship data-centre vehicle, and long Treasury yields at multi-year highs partly attributed to technology issuance absorbing dealer capacity.

These cannot both be the whole picture, and this edition does not resolve them. The most that can be said honestly is that the index is a weighted average dominated by thousands of non-technology issuers, and that the stress, such as it is, is concentrated and idiosyncratic rather than systemic — so far. Whether "so far" is a description of resilience or of a lag is precisely the open question, and it is likely to be answered by the price of the next large deal rather than by argument.

What this edition cannot tell you

Limitation on the internal view. The house Wiki is normally the source of the framing in this section, and its pages typically draw on a narrow set of external research providers — 13D Research, White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent and Gary Shilling among them — a concentration that tends to tilt internal framing toward structural, top-down and cycle-sceptical readings. That tilt would ordinarily need flagging. On this run the concentration is irrelevant for a different reason: the Wiki could not be reached at all, so there is no internal view in this edition, no provider attribution, and no *last_reviewed* date to report. Everything above is external reporting plus editorial framing, and it should be read with correspondingly less weight than an edition carrying the house position. Readers who want the internal thesis on AI financing should consult the Wiki directly.

WHAT TO WATCH FROM HERE

The dashboard

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Oracle Q1 FY2027 results, 10 September	Backlog conversion and the updated capital-expenditure and financing plan, after the close.	The single most levered large issuer reporting six days before the Federal Reserve. Whether RPO converts to revenue, and how much further funding is flagged, sets the tone for the whole complex.
FOMC decision, 16 September	Futures have priced roughly a 58–66 per cent chance of a quarter-point rise, with a dot plot alongside.	A rise confirms that the cost of every subsequent tranche is going up. A hold would relieve the long end and, mechanically, the discount rate on long-dated AI cash flows.
New-issue concessions on the next mega-deal	The premium a borrower must pay over its own secondary curve to place fresh paper.	The cleanest real-time read on appetite. A widening concession says the buyer base is full before any spread index moves.
Long-end Treasury yields and dealer inventory	Thirty-year at 5.27 per cent as of 1 September; watch whether technology supply is still cited as a driver.	If corporate issuance is genuinely crowding out government paper, the two markets are linked and the AI build has become a macro variable rather than a sector one.
Private-credit redemption data	Withdrawal requests at the large non-traded credit vehicles, following roughly \$5.4bn at Blue Owl in the first quarter.	These funds are anchor buyers of data-centre paper. Persistent outflows shrink the bid for the next vehicle regardless of the underlying asset's quality.
Any change to stated GPU useful lives	A shortening at one large operator, disclosed in a 10-Q or 10-K, following Amazon's 2025 shortening for a subset of servers.	It would move reported earnings immediately and, more importantly, validate the residual-value scepticism that chip-backed lending is currently pricing against.

Coherent ways to hold the theme

Own the balance sheet, not the promise

Favour the operators whose build is funded from cash flow and whose ratings are AA or better, accepting that they will grow compute capacity more slowly than the levered challengers. **The cost:** if the financing window stays open and the contracts convert, this posture systematically under-owns the fastest growth in the theme, and does so for years.

Own the lender, not the borrower

Take the view that arrangers and credit managers earn fees and spread from every tranche regardless of which operator wins, and that their equity has already de-rated hard. **The cost:** flows, not fundamentals, have driven that de-rating; redemptions can continue long after portfolio quality stops deteriorating, and a manager under redemption pressure cannot underwrite the next deal.

Own the credit, not the equity

Accept the structures at face value and take the senior secured paper rather than the shares — contracted cash flows, real collateral, a coupon above governments. **The cost:** the upside is capped at par plus coupon while the downside runs through a residual-value assumption on hardware that has never been tested in a downcycle, and spreads are near their tightest in twenty years.

The companies named below are illustrative of the mechanisms discussed. They are NOT recommendations, and no view is expressed on the merits of any security. Prices are as of the dates stated and will have moved.

ORCL

Oracle Corporation

\$145.75
close, 2 Sep 2026

The purest expression of the tension. A backlog of roughly \$553bn at February 2026, up 325 per cent, sits against total debt above \$125bn, trailing free cash flow near negative \$24.7bn, a BBB rating two notches above high yield, and a five-year CDS at a record 198 basis points. Roughly \$120bn of its bonds sit inside the high-grade index, which makes it a systemic name for credit investors as well as an AI name for equity investors.

WATCH NEXT

Q1 FY2027 results after the close on 10 September, and specifically the updated FY2027 capital-expenditure and external-funding guidance.

META

Meta Platforms, Inc.

\$591.58
2 Sep 2026, intraday

The template for off-balance-sheet infrastructure finance. The Hyperion campus in Louisiana is held in a vehicle roughly 80 per cent owned by Blue Owl and co-investors, funded with about \$27.3bn of fully amortising senior secured notes due 2049 anchored by PIMCO. Meta carries an equity stake and a lease. The structure is legitimate, disclosed and increasingly imitated; it also means the headline debt line no longer describes the company's economic commitments.

WATCH NEXT

Whether a second campus is financed the same way, and what spread the next vehicle has to concede to place its notes.

CRWV

CoreWeave, Inc.

~\$83
28 Aug 2026

The company that made graphics processors financeable. Its \$8.5bn facility — floating at SOFR plus 225, fixed near 5.9 per cent — was described as the first investment-grade-rated GPU-backed financing, secured on chips together with a Meta contract worth at least \$19bn. A separate \$2.6bn delayed-draw term loan priced at SOFR plus 550, a reminder of how quickly the cost rises once the best collateral is pledged. Total debt reached \$35bn at 30 June 2026.

WATCH NEXT

The pricing of the next facility relative to the \$8.5bn deal — the clearest available test of whether chip collateral is holding its value in lenders' eyes.

NBIS

Nebius Group N.V.

\$204.64
2 Sep 2026, intraday

The smaller neocloud following the same path. Its first senior secured facility, roughly \$775m at SOFR plus 250 maturing October 2030, is backed by deployed infrastructure and contracted cash flows from an investment-grade customer. Total liabilities of about \$15.06bn represent an increase of more than tenfold year on year. Reported contract wins near \$49bn make the demand side credible; the balance sheet makes the funding side the variable.

WATCH NEXT

Whether the secured-debt structure can be scaled to fund the contracted backlog without recourse to equity at a materially lower share price.

OWL

Blue Owl Capital Inc.

\$11.83
1 Sep 2026, intraday

The counterweight that makes this edition worth writing. The manager anchoring the largest data-centre vehicle yet assembled fell 68.2 per cent from its January 2025 high to an all-time low of \$7.95 in April 2026, on roughly \$5.4bn of first-quarter redemption requests — including withdrawal requests equal to 21.9 per cent of shares at its \$36bn flagship credit fund. Underlying portfolio metrics held up better: non-accruals at its listed BDC were 2.7 per cent at cost, 1.3 per cent at fair value.

WATCH NEXT

Second-half redemption data. A manager facing persistent outflows cannot anchor the next \$27bn vehicle, whatever the asset quality.

NVDA

NVIDIA Corporation

\$224.72
2 Sep 2026, intraday

The vendor that sits on both sides of the trade. It supplies the collateral, has disclosed an equity stake in Nebius reported at 9.3 per cent, and its product cadence is the variable that determines how quickly the pledged hardware ages. Nvidia rose 3.2 per cent on 2 September on reports it was nearing a \$14bn acquisition of Hugging Face. Its own participation in the financing chain is what critics mean by circularity, and what supporters describe as ordinary vendor support.

WATCH NEXT

The next architecture announcement and its efficiency gain per watt — the single input that most directly sets the residual value of chips already pledged as loan collateral.

The bottom line

What was repriced this year was not AI demand. Contracted backlogs grew, in Oracle's case by 325 per cent. What was repriced was the cost and the visibility of the money behind the build. Median spreads on the four largest technology borrowers widened at every tenor; the most levered issuer's default insurance reached a record; the great majority of 2026 hyperscaler bonds traded below issue price; and the listed equity of the private-credit manager anchoring the flagship data-centre vehicle fell by roughly two-thirds. None of that says the assets are bad. It says the terms are worse than they were, and that the marginal buyer of this paper is closer to full than the index level suggests.

The evidence is genuinely mixed, and this edition does not pretend otherwise: hyperscaler leverage remains a fraction of the investment-grade average, aggregate spreads are near two-decade tights, and chip-backed lending has cleared an investment-grade rating that many assumed it never would. The reasonable inference is narrower than either camp would like — that the AI build has become a duration and financing question layered on top of an unresolved demand question, and that the two are now being priced in different markets at different speeds. The next test is close and unusually specific: Oracle's results on 10 September, followed by the Federal Reserve on 16 September, will show within a week whether the most exposed borrower can fund itself and whether the rate backdrop is about to make that harder.

Editorial note. This is educational commentary prepared for internal use. It is not investment advice, not a recommendation, and not a solicitation to buy or sell any security. Companies named are illustrative of the mechanisms under discussion and no view is expressed on the merits of their securities. All external figures carry an as-of date and were verified against public reporting at the time of writing; prices move and figures are superseded. Internal Wiki views, where present, are the opinions of named research providers, are labelled as views rather than forecasts, and are not verified facts — this edition contains none, because the Wiki was unreachable. Where evidence conflicts, the conflict is stated rather than resolved.

Sources and update notes

(a) Internal. None. The Heyokha Wiki MCP server was not present in this session, and no `mcp__Heyokha_Wiki__*` tools could be loaded via tool search. A fallback attempt to locate the research Wiki in the connected Notion workspace returned only unrelated engineering-wiki content. Accordingly there are no Wiki page slugs, no *created* or *last_reviewed* dates, and no research-provider issues to cite for this edition. Under the standing instruction, the edition was produced from browser and web research alone and the failure is recorded here.

(b) Limitation on the internal view. Because no internal page was read, no provider concentration can be reported for this topic. The general limitation stands and is stated in full in the "What this edition cannot tell you" section above: the Wiki's theme pages typically rest on a small group of providers whose house styles skew structural and cycle-sceptical, and any edition drawing on them should be read with that in mind. This edition should instead be read with the opposite caution — it carries no internal position at all, and its framing is editorial.

(c) External sources. (1) US Treasury yields: ten-year 4.79 per cent, two-year 4.39 per cent, thirty-year 5.27 per cent, as of 1 September 2026; ten-year subsequently past 4.8 per cent, highest since October 2023, with technology issuance and deficit concerns cited as drivers — Trading Economics, 1–2 September 2026. (2) US equity close, 2 September 2026: S&P 500 +0.46 per cent to 7,666.60; Nasdaq Composite +0.45 per cent to 26,217.83; Dow +295.07 points, +0.56 per cent, to 53,061.95 — CNBC, 2 September 2026. (3) Federal Reserve: Chair Kevin Warsh's Jackson Hole remarks, 28 August 2026, raised September rate-rise probabilities to a range of roughly 58 to 66 per cent across CME FedWatch readings on 30–31 August; FOMC meets 15–16 September 2026 with decision at 14:00 ET on 16 September and a Summary of Economic Projections — CNBC, Forbes and FOMC calendar, 28–31 August 2026. (4) Hyperscaler issuance: about \$194bn from Amazon, Alphabet, Meta and Oracle in 2026 through 7 July, versus roughly \$108bn in all of 2025, +79 per cent; Goldman Sachs estimate of roughly \$250bn for 2026 and \$400bn for 2027 across five hyperscalers; 2025 baseline of \$121bn — Reuters analysis, July 2026. (5) Spreads by tenor for those four issuers, 2025 to 2026: 2–4 year median 30bp to 40bp; 5–7 year 50bp to 60bp; 20 year-plus 108.5bp to 118bp; 78 of 91 hyperscaler bonds issued in 2026 trading at higher yields on 28 July than at issuance, median +22bp — Reuters, late July 2026. (6) Ratings and leverage: Microsoft AAA, Alphabet AA+, Meta AA–, Amazon AA–, Oracle BBB; post-issuance leverage typically 0.4–0.7x against an investment-grade average near 3x — credit research summarised July 2026. (7) Investment-grade option-adjusted spread about 74bp at end-Q2 2026, first percentile over a twenty-year lookback; Q2 IG issuance \$605bn, +42 per cent year on year — Breckinridge Capital Advisors, Q3 2026 outlook. (8) Oracle: RPO approximately \$553bn at Q3 FY2026 (quarter ended 28 February 2026), +325 per cent year on year; total debt above \$125bn; trailing free cash flow approximately negative \$24.7bn; FY2026 capital expenditure guided near \$50bn against \$6.9bn in FY2024; five-year CDS approximately 198bp, a record; roughly \$120bn of bonds in the Bloomberg US high-grade index; plans to raise \$45–50bn in 2026 — company disclosure and reporting, February–April 2026. (9) Oracle Q1 FY2027 results scheduled for Thursday 10 September 2026 after the close, call at 16:00 Central — Oracle investor relations announcement. (10) CoreWeave: \$8.5bn facility,

described as the first investment-grade-rated GPU-backed financing, secured on GPUs plus a Meta contract worth at least \$19bn, floating tranche at SOFR+225, fixed tranche approximately 5.9 per cent; separate \$2.6bn delayed-draw term loan at SOFR+550 with roughly five-year maturity; total debt \$35bn at 30 June 2026 versus \$22.7bn long-term debt at Q1-end — CoreWeave press releases and Bloomberg, March–June 2026. (11) Nebius: first senior secured facility approximately \$775m at SOFR+250 maturing 31 October 2030, backed by deployed GPU infrastructure and contracted cash flows from an investment-grade customer; total liabilities \$15.061bn; reported contract wins near \$49bn; Nvidia disclosed a 9.3 per cent stake — Nebius newsroom and reporting, 2026. (12) Meta–Blue Owl: SPV reported as Beignet Investor, Meta 20 per cent, Blue Owl and co-investors 80 per cent, holding the Hyperion campus in Richland Parish, Louisiana; approximately \$27.3bn of fully amortising senior secured notes due 2049 plus roughly \$2.5–3bn of equity; Morgan Stanley structured and sole-bookran, PIMCO anchored with BlackRock and Apollo participating; the SPV owns the asset and leases it to Meta — Bisnow, TipRanks and transaction reporting. (13) Blue Owl: all-time low of \$7.95 on 2 April 2026, down 68.2 per cent from the January 2025 high of \$25.02; approximately \$5.4bn of Q1 redemption requests; withdrawal requests of 21.9 per cent of shares at the \$36bn Blue Owl Credit Income Corp and 40.7 per cent at the \$6.2bn Blue Owl Technology Income Corp; OBDC non-accruals 2.7 per cent at cost and 1.3 per cent at fair value — Bloomberg and company filings, 2026. (14) GPU depreciation: five- to six-year assumed useful lives against a roughly three-year flagship product cycle; estimated \$176bn of understated depreciation across 2026–2028, with reported operating income at some issuers put more than 20 per cent above economic reality by critics; Amazon shortened useful life for a subset of servers in 2025 while Meta extended its estimate — CNBC and accounting-research commentary, 2025–2026. This is a contested analytical estimate, not an audited or disclosed figure. (15) Prices: Oracle closed at \$145.75 on 2 September 2026 (day range \$138.47–\$146.69); Meta \$591.58 intraday on 2 September (range \$574.20–\$600.38); Nebius \$204.64 intraday on 2 September (range \$193.12–\$204.84); Nvidia \$224.72 intraday on 2 September, +3.2 per cent on reports of a near \$14bn acquisition of Hugging Face; Blue Owl \$11.83 intraday on 1 September; CoreWeave approximately \$83 on 28 August 2026, the most recent level that could be verified — market data aggregators, dates as stated.

(d) Editorial choices in this automated run. Three decisions are worth recording. First, on topic: the internal Wiki was unreachable, so the hot-signal scoring described in the standing brief could not be run against theme pages. The topic was instead chosen from the external tape, where the dominant new signal across 31 August to 2 September was the interaction between technology-sector debt issuance and the long end of the Treasury curve — a story with a named live catalyst on 10 and 16 September. Second, on cooldown: the archive check *did* succeed. The **HB Wiki Learning** folder was reachable directly as a mounted directory rather than through the remote-devices bridge, which was absent from this session; thirty-four prior editions were parsed. The thirty-day cooldown set was read as AI Capex (4 Aug), Gold Miners (5 Aug), Grid Equipment (6 Aug), Oil & Gas (7 Aug), Software Unit Economics (7 Aug), Healthcare Rotation (10 Aug), Tanker Shipping (10 Aug), Uranium (11 Aug), Oil Chokepoint Risk (12 Aug), Seat-Based Software (13 Aug), Energy Chokepoints (14 Aug), Copper Smelting Bottleneck (17 Aug), Copper (18 and 19 Aug), Fiscal Dominance (20 Aug), China Equities (21 Aug), Memory Supercycle (24 Aug), Rare Earth Magnets (25 Aug), Gold (26 Aug), Humanoid Robots (26 Aug), Iran War (27 Aug), Coal (28 Aug), Grain Supply Shock (31 Aug), Yen Carry Trade (1 Sep) and Power Affordability (2 Sep). AI Debt Financing is not among them. It is adjacent to AI Capex, which ran four times between 28 July and 4 August and falls at the outer edge of the cooldown window; the two are treated as distinct because that run examined the spending decision and its beneficiaries, whereas this edition examines the funding of that spending, the collateral behind it and the credit market's response — a different mechanism with a different set of instruments. Because the theme universe could not be enumerated from the Wiki, it cannot be confirmed that "AI Debt Financing" corresponds to an existing active theme page; the title should be reconciled against the Wiki when it is available again, and the filename adjusted if the canonical theme name differs. Third, on structure: because there is no internal leg, the "reframe" sidebar and the "useful mental model" block are editorial constructions rather than provider views, and the section that normally contrasts internal with external evidence instead contrasts two external bodies of evidence. Tool failures encountered: the remote-devices bridge (absent, worked around via the mounted folder) and the Heyokha Wiki MCP server (absent, not worked around).